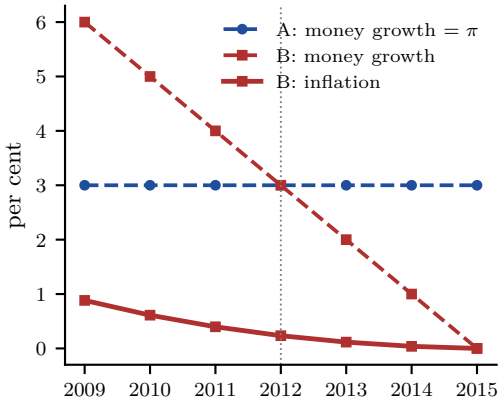


11.4 — Baumol–Tobin demand, $r = 2\%$, path fully anticipated

(i) Money growth and inflation



(ii) Real balances in B rise

